

Tutorial 7

Dynamic Stop Losses and Risk Control

Protect the account first; protect profit second; never move risk without a rule.

Student Guide | Trading Education Workbook

Purpose of this handout

This document turns one coaching topic into a focused lesson, practice routine, and homework assignment. It is written for education and paper-trading practice only. It is not financial advice and does not recommend buying, selling, shorting, or holding any security.

Source of the lesson

Based on the coaching conversation with Val and Adel on technical execution, risk management, chart study, market structure, and options/catalyst awareness. External references are included to deepen the concept and give the student reliable follow-up reading.

How to use this tutorial

- Read the objective and key terms first.
- Study the chart logic slowly before trying to trade it.
- Complete the practice drill using paper trading or chart replay.
- Answer the homework questions at the end in writing.

Learning Objective

By the end of this tutorial, the student should understand how to define invalidation, place protective stops, move a stop only after the trade improves, and use daily risk rules to prevent one mistake from damaging the account.

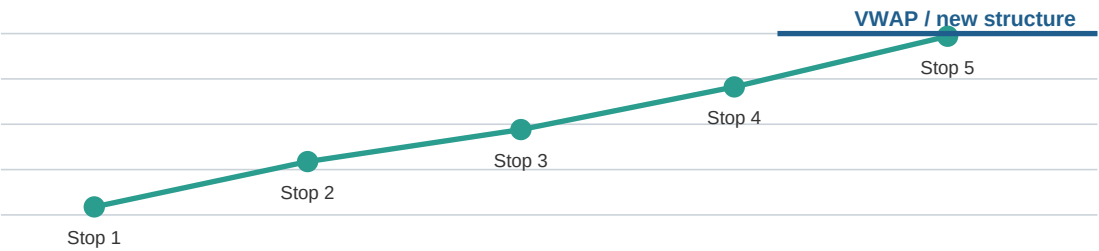
One-sentence lesson

A stop loss is not punishment. It is the level where the trade idea is no longer valid, or where profit must be protected after the trade has moved in your favor.

Key Terms

Term	Student Definition	Use in the Lesson
Initial stop	The first protective exit level placed before or immediately after entry.	Defines the original risk.
Dynamic stop	A stop adjusted as the trade develops.	Used to reduce risk or protect profit, not to increase hope.
Breakeven stop	A stop moved near entry after the trade has moved favorably.	Prevents a winner from becoming a large loser.
VWAP stop area	Using the VWAP area as a logical stop reference after price moves.	Used in the coaching session to protect a scalp.
Daily kill-switch	A rule that stops trading for the day after defined conditions.	Protects the student from fatigue, revenge trading, and overtrading.

Stop moves only after the trade earns it: partial target, VWAP hold, or higher low.



Why Dynamic Stops Were Emphasized

In the coaching session, Adel had Val move the stop loss upward toward the VWAP area after the position had already moved in Val's favor. The logic was to reduce risk and protect profit while still giving the trade room to work.

The key word is after

A stop should not be moved randomly. A stop should move only when price creates a new reason: a higher low, VWAP reclaim, moving-average support, partial profit, or a change in risk.

Stop Type Quick Reference

Stop Type	Purpose	Main Danger
Initial protective stop	Defines maximum planned loss for the idea.	Placed too far away or after emotional entry.
Breakeven stop	Removes most original risk after price moves favorably.	Moved too early and shaken out by normal noise.
VWAP-area stop	Uses a dynamic context area as protection.	VWAP can chop; it needs structure confirmation.
Trailing stop	Follows price by a rule or distance.	Can trigger during normal pullback.
Mental stop	A stop kept in the trader's head.	Often ignored under emotion; not ideal for beginners.

Do not move a stop the wrong way

Moving a stop to reduce risk can be disciplined. Moving a stop farther away because you do not want to be wrong turns risk management into hope.

The Dynamic Stop Process

1. Before entry, mark invalidation: the level where the trade idea is wrong.
2. Place or plan the initial stop near that invalidation, using position size that keeps risk acceptable.
3. If price moves in favor, identify the new structure: higher low, VWAP hold, SMA/EMA hold, or first target hit.
4. Move the stop only to reduce risk or protect profit.
5. If the stop triggers, accept the exit and reassess. Do not instantly revenge trade.
6. If the daily kill-switch triggers, stop trading for the day.

When to Move the Stop

Condition	Move Stop?	Reason
Trade immediately goes against you	No, take the planned stop.	The idea may be wrong.
Price reaches first target	Often yes.	Partial profit allows risk reduction.
Price reclaims and holds VWAP	Possibly yes.	VWAP can become a new defensive area.
New higher low forms	Possibly yes.	Structure has improved.
You are tired or distracted	Stop trading, not just move stop.	Decision quality is compromised.

Daily Kill-Switch Rules

A kill-switch ends trading before emotional damage occurs. Examples: two failed trades in a row, one order-entry mistake, exceeding a daily loss limit, or realizing you are too tired to read the chart.

Risk Control Checklist

Item to Submit	Done
I know my entry, stop, and target before entering.	
I know how much money is at risk if the stop hits.	
I know what event allows me to move the stop up.	
I will not move the stop farther away to avoid being wrong.	
I will stop trading if I am tired, angry, rushed, or distracted.	
I will record every stop movement in my journal.	

Mistakes to Avoid

- Moving the stop lower because the trade is losing.
- Using a stop so tight that normal candle noise triggers it immediately.
- Using a stop so wide that one loss erases many wins.
- Taking partial profit but leaving the stop at the original full-risk location.
- Trading while sleepy and telling yourself you will be careful.

Research References

1. **SEC Investor.gov - Stop, Stop-Limit, and Trailing Stop Orders**
Explains stop orders, stop-limit orders, and trailing stops, including execution risk and non-execution risk.
<https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins-15>
2. **SEC Investor.gov - Types of Orders**
Defines market, limit, and stop orders and explains why execution and price certainty are not the same.
<https://www.investor.gov/introduction-investing/investing-basics/how-stock-markets-work/types-orders>
3. **FINRA - Understanding the New Intraday Margin Requirements**
Explains 2026 changes replacing old pattern-day-trader provisions with intraday margin standards.
<https://www.finra.org/investors/insights/intraday-margin-requirements>
4. **SEC - Day Trading: Your Dollars at Risk**
Describes the high risk, stress, and continuous monitoring involved in day trading.
<https://www.sec.gov/about/reports-publications/investorpubsdaytipshtm>

Homework - Complete Before the Next Session

Complete the exercise in paper trading or chart replay. Write stop rules before the candle moves, not after.

Question / Prompt	Student Answer
What is the difference between an initial stop and a dynamic stop?	
Where was the invalidation level on your chosen chart?	
What was the dollar risk if your initial stop hit?	
What event allowed you to move the stop: VWAP hold, higher low, partial target, or another reason?	
Did you move the stop to reduce risk or because of fear? Be honest.	
What is one situation where moving the stop would be wrong?	
Write your personal daily kill-switch rule.	
What will you do after a stop triggers: re-enter, wait, or stop trading? Why?	

Submission Checklist

Item to Submit	Done
3 paper-trade examples with entry, stop, target, and stop movement labeled.	
One example where the stop was not moved because the trade did not earn it.	
A written daily kill-switch rule signed by the student.	